

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 10
JUDICIAL OFFICER: CHARLES TREAT
HEARING DATE: 06/11/2026

The tentative ruling will become the Court's ruling unless by 4:00 p.m. of the court day preceding the hearing, counsel or self-represented parties email or call the department rendering the decision to request argument and to specify the issues to be argued. Calling counsel or self-represented parties requesting argument must advise all other affected counsel and self-represented parties by no later than 4:00 p.m. of their decision to appear and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (*Local Rule 3.43(2).*)

Note: In order to minimize the risk of miscommunication, parties are to provide an **EMAIL NOTIFICATION TO THE DEPARTMENT OF THE REQUEST TO ARGUE AND SPECIFICATION OF ISSUES TO BE ARGUED**. Dept. 10's email address is: dept10@contracosta.courts.ca.gov. Warning: this email address is not to be used for any communication with the department except as expressly and specifically authorized by the court. Any emails received in contravention of this order will be disregarded by the court and may subject the offending party to sanctions.

Submission of Orders After Hearing in Department 10
Cases

The prevailing party must prepare an order after hearing in accordance with CRC 3.1312. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

Courtroom Clerk's Calendar

1. 8:31 AM CASE NUMBER: C24-01973
--

CASE NAME: DAVID WONG VS. JAFFE AND ASHER LLP

*FURTHER CASE MANAGEMENT CONFERENCE

FILED BY:

<u>*TENTATIVE RULING:*</u>
--

See Lines 8, 9, and 10 below. The case management conference is continued to November 18, 2026 at 8:30 a.m. That will also be an Order to Show Cause why the case should not be dismissed as to the Clausen defendants for lack of service of process on them.
--

2. 9:00 AM CASE NUMBER: C25-00570
--

CASE NAME: CYNTHIA DUNHAM VS. AUSTREBERTO PINEDA GOMEZ
--

*FURTHER CASE MANAGEMENT CONFERENCE

FILED BY:

<u>*TENTATIVE RULING:*</u>
--

See Line 11 below.

3. 8:31 AM CASE NUMBER: C25-00957
CASE NAME: EAST BAY MUNICIPAL UTILITY DISTRICT VS. MATT KAUFFMAN
*FURTHER CASE MANAGEMENT CONFERENCE
FILED BY:
TENTATIVE RULING:

The CMC is **continued** to June 18, 2026 at 9:00 a.m.

Law & Motion

4. 9:00 AM CASE NUMBER: C23-00688
CASE NAME: BROUWER VS. REDWOOD HOLDINGS, LLC
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: REDWOOD HOLDINGS, LLC
TENTATIVE RULING:

Before the Court is a demurrer to plaintiff Helen Brouwer's First Amended Complaint (FAC), filed by defendant Redwood Holdings, LLC. The demurrer is **sustained without leave to amend**.

I. Background

According to the FAC, plaintiff was foreclosed upon by her lenders, Gregory Funding LLC and Gregory Funding Inc., and the property was sold to defendant at a non-judicial foreclosure sale on September 30, 2020. (FAC, ¶¶6-10.) The foreclosure sale took place during a State of Emergency in California due to the COVID-19 pandemic and "a period of legal uncertainty regarding the validity of foreclosure sales." (FAC, ¶¶12, 34.) Gregory Funding's license to conduct loan servicing activities had been restricted or revoked by the California Department of Real Estate, and defendant knew or should have known of these licensing issues. (FAC, ¶135.)

Defendant evicted plaintiff in January of 2021. (FAC, ¶¶42-43.) It then sold the property through a real estate broker for \$1,150,000, realizing a profit of at least \$430,000. (FAC, ¶¶36-39.) The sale price of \$1,150,000 was still substantially below the true fair market value, which remained approximately \$1,700,000 to \$2,175,000, suggesting the property was not properly marketed to maximize its value. (FAC, ¶¶40-41.) Plaintiff was over 80 when evicted by defendant. (FAC, ¶44.)

The FAC alleges that defendant, as a professional foreclosure purchaser regularly engaged in the business of purchasing foreclosed properties, owed plaintiff a duty of reasonable care to (1) conduct due diligence to ensure the foreclosure sale complied California law; (2) refrain from purchasing property at a foreclosure sale that lacked competitive bidding due to reasonably foreseeable circumstances that would deter prospective bidders; (3) refrain from purchasing property at a foreclosure sale conducted in violation of applicable COVID-19 emergency orders and statutory protections; (4) refrain from purchasing property at a foreclosure sale where the circumstances

indicated that the property would sell for substantially below fair market value due to lack of competitive bidding; (5) refrain from evicting an elderly homeowner from property purchased at a defective foreclosure sale. (FAC, ¶150.) Defendant breached these alleged duties of care. (FAC, ¶151.)

Plaintiff's FAC sets forth three causes of action: (1) Wrongful Foreclosure (Negligence); (2) Unjust Enrichment; and (3) Negligent Interference With Prospective Economic Advantage. The FAC seeks damages for lost equity of at least \$430,000, attorney's fees and costs (exceeding \$100,000) incurred in attempting to remedy the wrongful foreclosure, restitution, emotional distress, health problems and medical expenses, and costs of alternative housing.

Plaintiff originally filed this action on March 28, 2023. A demurrer to plaintiff's original complaint was sustained in July of 2023, with leave to amend. When plaintiff failed to amend within the time allowed by the Court, defendant moved to dismiss. On October 13, 2025, prior to any hearing on the motion to dismiss, plaintiff filed the FAC. Plaintiff's FAC claims, in essence, that defendant was negligent based on its purchase of the property despite "irregularities" about which it should have known. Specifically, prospective bidders were deterred from bidding at the foreclosure sale due to the generally-held belief that foreclosure sales were stayed because of the COVID-19 pandemic, resulting in the sale price being substantially below fair market value. (FAC, ¶¶10-11, 24-27, 30-31.)

On December 4, 2025, Judge Weil denied the motion, noting that the plaintiff had filed a notice of appeal (presumably this was in reference to the appeal in plaintiff's case against Gregory Funding, Inc. and Gregory Funding, LLC, Contra Costa Superior Court Case No. MSC21-00144), which had effectively stayed the case, and nothing much of substance had been done during the two years since a demurrer to the original complaint was sustained. Judge Weil allowed defendant 30 days to file a pleading in response to the FAC.

The present general demurrer was filed less than two weeks later on December 15, 2025 following efforts to meet and confer (see Declaration of Brandon Trout). Aside from arguing the allegations are inadequate, defendant asserts that issue preclusion based on plaintiff's appeal bars her claims here. In support of the demurrer, defendant submits a request for judicial notice of various recorded documents and the First District's opinion in *Brouwer v. Gregory Funding, Inc.*, A168356, plaintiff's case against the lender and loan servicer responsible for the foreclosure sale. The request is unopposed and is **granted**.

Plaintiff has filed an opposition to the motion, arguing the FAC meets the necessary pleadings requirements.

II. Legal Standard

A court assessing a demurrer accepts as true the facts pleaded in the complaint, but rejects contentions, deductions and conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966–967.) The Court gives the complaint a reasonable interpretation, reading it as a whole and its parts in their context. (*Blank, supra*, 39 Cal.3d 311, 318.) "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.) In ruling on a demurrer, the court considers the face of the pleading attacked and matters subject to judicial notice. (Code Civ.

Proc. § 430.30(a).)

III. Discussion

A. Wrongful Foreclosure / Negligence (First C/A)

Defendant contends no negligence cause of action is alleged because it is a Bona Fide Purchaser (BFP) and finding a duty to a foreclosed borrower would undermine all foreclosure sales.

To be a bona fide purchaser, defendant must have made a payment of value, in good faith, and without actual or constructive notice of plaintiff's rights. (*Gates Rubber Co. v. Ulman* (1989) 214 Cal.App.3d 356, 364.) Here, plaintiff expressly alleges that defendant had actual or constructive knowledge of material irregularities in the foreclosure sale so *if* there were such material irregularities, this could negate the claimed BFP status.

Nonjudicial foreclosures are presumed to have been conducted regularly and properly, and thus, the party challenging the sale has the burden of affirmatively pleading and proving an improper procedure. (*Ram v. OneWest Bank, FSB* (2015) 234 Cal.App.4th 1, 14.) Further, allegations in a challenged pleading must be regarded as true unless they state legal conclusions. Allegations of defendant's "actual or constructive knowledge" of "material irregularities" in the foreclosure sale, are conclusory. In the original complaint, plaintiff alleged a "symbiotic relationship" between the lender and defendant. The allegations were determined to be legal conclusions and not sufficient to allege a cause of action against defendant here. This version of the complaint does not substantively alter, or add to, those allegations.

Plaintiff cites a statutory requirement that the sale be "conducted in a manner that is fair and that obtains fair market value," but the provision cited (Civ. Code, § 2924f) does not apply. The statute imposes a duty on the *mortgagee* and on the *trustee* under certain conditions. The mortgagee must provide to the trustee a fair market value of the property at least 10 days prior to the initially scheduled date of sale, and the trustee "shall not sell the property at the first sale at which a bid can be made for less than 67 percent of that fair market value of the property." (Civ. Code, § 2924f, subd. (f)(1).)

Neither the mortgagee nor the trustee is a party here. Additionally, the statute provides that a failure to comply with these provisions "shall not affect the validity of a trustee's sale or a sale to a bona fide purchaser for value." (Civ. Code, § 2924f, subd. (f)(4).)

This Court is not in the position to retroactively declare invalid any nonjudicial foreclosure sales that lacked multiple bids, even if that lack was due to COVID-19 or public beliefs at the time. Such action was for the Legislature to address. In fact, the Legislature *did* implement measures to ensure competitive bidding in residential foreclosures, but the implementation came after the foreclosure sale here. (*Bird Rock Home Mortgage, LLC v. Breaking Ground, LP* (2025) 114 Cal.App.5th 492, 500-501 [Section 2924m added effective January 1, 2021].)

With respect to the arguments that Gregory Funding's license had been revoked or restricted (FAC, ¶135), or that defendant had a business relationship with the foreclosing entity, giving it advance information (FAC, ¶133), these are insufficient to invalidate the sale and the FAC does not state a cause of action.

As to defendant's assertion that issue preclusion bars the negligence cause of action against

it, the judgment and appeal in plaintiff's case against her lender and servicer does appear to apply to the issue of whether an unlicensed entity was responsible for the foreclosure sale. On this point, the appellate court stated:

Brouwer asserts that "[a] court cannot permit a foreclosure sale conducted by an entity that has had its broker's license revoked, regardless of whether harm or prejudice was pleaded in the complaint, due to the inherent unlawfulness of the act of foreclosure." Brouwer has not cited any authority in support of her argument. Nor have we found any authority for the proposition that the prejudice requirement is necessarily satisfied by an allegation that the loan servicer was unlicensed."

[...]

As to the sufficiency of the allegations of the complaint to show prejudice, we note that Brouwer has not alleged any facts demonstrating that she was prejudiced by Gregory Funding's alleged lack of license.

Plaintiff does not address issue preclusion in the opposition whatsoever, though the Court has some question as to whether the question of "advance information" is entirely resolved by the appellate court's opinion. (See RJN, Ex. 7, fn. 5 [expressly not reaching all the contentions raised by plaintiff on appeal].)

"The purchaser at a foreclosure sale takes title by a trustee's deed. If the trustee's deed recites that all statutory notice requirements and procedures required by law for the conduct of the foreclosure have been satisfied, a rebuttable presumption arises that the sale has been conducted regularly and properly; this presumption is conclusive as to a bona fide purchaser. [Citation.]" (*Moeller v. Lien* (1994) 25 Cal.App.4th 822, 830, citing *Homestead Savings v. Darmiento* (1991) 230 Cal.App.3d 424, 431.)

Plaintiff has provided no authority or unique facts to support a negligence cause of action against the purchaser of the foreclosed property here.

The demurrer to this cause of action is sustained.

B. Unjust Enrichment (Second C/A)

Defendant argues that the unjust enrichment cause of action fails because it is (1) not a cause of action and (2) derivative of the negligence cause of action. Plaintiff responds that she has alleged defendant gained a windfall due to a defective foreclosure sale. While plaintiff's reasoning would have some merit if the facts pleaded showed a wrongful foreclosure, they do not, as discussed above.

The demurrer to this cause of action is sustained.

C. Negligent Interference With Prospective Economic Advantage (Third C/A)

Defendant argues that plaintiff's third cause of action fails because she fails to allege an economic relationship between herself "and a third party."

"The tort of negligent interference with prospective economic advantage is established where a plaintiff demonstrates that (1) an economic relationship existed between the plaintiff and a third party which contained a reasonably probable future economic benefit or advantage to plaintiff; (2) the defendant knew of the existence of the relationship and was aware or should have been aware

that if it did not act with due care its actions would interfere with this relationship and cause plaintiff to lose in whole or in part the probable future economic benefit or advantage of the relationship; (3) the defendant was negligent; and (4) such negligence caused damage to plaintiff in that the relationship was actually interfered with or disrupted and plaintiff lost in whole or in part the economic benefits or advantage reasonably expected from the relationship.” (*Venhaus v. Shultz* (2007) 155 Cal.App.4th 1072, 1078.)

Plaintiff opposes the demurrer on the basis that she pleaded “an economic relationship with potential purchasers of the Subject Property and a reasonable probability of future economic benefit from selling it at fair market value (FAC 68-69).” (Opposition, 3:10-15.) This is insufficient to meet the second element of a “reasonable probability of an expectancy.” (*Youst v. Longo* (1987) 43 Cal.3d 64, 71-72.) “[T]he interference tort applies to interference with existing noncontractual relations which hold the promise of future economic advantage. In other words, it protects the expectation that the relationship eventually will yield the desired benefit, not necessarily the more speculative expectation that a potentially beneficial relationship will eventually arise.” (*Westside Center Associates v. Safeway Stores 23, Inc.* (1996) 42 Cal.App.4th 507, 524.) The existence of a future buyer at a better price if plaintiff had been permitted to sell her own home, is purely hypothetical.

Accordingly, the demurrer to this cause of action is sustained.

D. Leave to Amend

The Court cannot readily see how plaintiff could be able to amend to rescue any of these causes of action. If plaintiff contests this tentative ruling to seek leave to amend, she must be prepared at the hearing to discuss in detail what amendments she contemplates making, why they will suffice, and why they haven’t been adduced before now.

5. 9:00 AM CASE NUMBER: C23-03266
CASE NAME: LINETTE LUJAN VS. WINDSOR ROSEWOOD CARE CENTER, LLC,
***HEARING ON MOTION IN RE: SET ASIDE ENTRIES OF DEFAULT**
FILED BY: ROSEWOOD CARE CENTER, LLC,
TENTATIVE RULING:

This motion was **stipulated**.

6. 9:00 AM CASE NUMBER: C24-00481
CASE NAME: STEVE STROOT VS. NATHAN SIMARRO
HEARING ON SUMMARY MOTION ADJUDICATION
FILED BY: SIMARRO, NATHAN
TENTATIVE RULING:

On the Court’s own motion, the hearing on this matter is **continued** until June 25 so that the late-provided usable video exhibit can be examined.

7. 9:00 AM CASE NUMBER: C24-01854
CASE NAME: REGINALD CANNON VS. MELISSA KATZ

***HEARING ON MOTION IN RE: TO CONSOLIDATE**

FILED BY: 1125 SIR FRANCIS DRAKE BOULEVARD OPERATING CO., LLC

TENTATIVE RULING:

This is one of two actions filed concerning defendants' care for a now-deceased patient. This is the first-filed, and the second is pending in Marin County. Defendants 1125 Sir Francis Drake Boulevard and Vibra Healthcare move to transfer the Marin action here and consolidate it with the existing Contra Costa action. The motion is unopposed, and it appears to be called for. (Indeed, the Court observes that if they remained separate, it is likely that the first case to come to judgment could operate as res judicata as to the other one.)

However, as a matter of caution, the Court requests **counsel to appear** (Zoom okay) to confirm whether there are any additional parties involved, and whether the Marin court has been apprised of this proposal.

8. 9:00 AM CASE NUMBER: C24-01973
CASE NAME: DAVID WONG VS. JAFFE AND ASHER LLP
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT
FILED BY: JAFFE AND ASHER LLP

TENTATIVE RULING:

Defendant Jaffe & Asher LLP's Demurrer to Plaintiff David Wong's Second Amended Complaint is **overruled**.

Background

Plaintiff David Wong filed this action in July 2024. The operative pleading is the Second Amended Complaint (SAC), filed October 15, 2025. The SAC asserts a cause of action against Jaffe & Asher LLP (J&A) for false imprisonment arising out of a service-of-process incident on March 3, 2024.

The court has previously sustained demurrers to earlier iterations of the false imprisonment claim. J&A demurred to the original complaint, and the court sustained that demurrer on February 10, 2025, finding that plaintiff had alleged only that his car was blocked by the process server's vehicle and had not alleged facts sufficient to show he was physically restrained or that he believed, based on words or conduct, that he would not be allowed to leave. Plaintiff filed the First Amended Complaint on February 24, 2025. J&A demurred to the FAC and the court sustained the demurrer with leave to amend.

Plaintiff filed the SAC on October 15, 2025. J&A now demurs to the false imprisonment cause of action on the ground that the SAC fails to state facts sufficient to constitute a cause of action against it.

J&A makes two arguments. First, J&A argues that the SAC does not allege false imprisonment at all. J&A argues that the new allegations in the SAC regarding physical blocking of the car doors and a verbal instruction to stay are inconsistent with prior pleadings and should be disregarded as sham. J&A further argues that even accepting those allegations, plaintiff was free to leave on foot and the

process servers neither physically restrained him nor threatened harm if he left.

Second, J&A contends that even if a false imprisonment occurred, J&A cannot be held liable for the Clausens' conduct. J&A argues that plaintiff's allegations connecting it to the process servers sound in either agency or aiding and abetting, and that under either theory they fail. As to agency, J&A argues that plaintiff does not allege that J&A controlled the manner and means by which the Clausens carried out service, as opposed to merely directing the desired result. As to aiding and abetting, J&A argues that plaintiff does not allege facts showing J&A knew a tort was being or would be committed and acted with intent to facilitate it. J&A also argues that all agency and intent allegations are pleaded on information and belief without the factual foundation required by *Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149.

J&A requests that the demurrer be sustained without leave to amend on the ground that plaintiff has had three opportunities to plead and remains unable to state a viable claim.

Plaintiff opposes the demurrer on two grounds. First, he argues the SAC states a claim for false imprisonment against the process servers by alleging facts beyond a blocked driveway – specifically, that both of his car doors were physically blocked by the Clausens' bodies, that one of the Clausens instructed plaintiff to stay in the car, and that plaintiff was not free to leave until they departed. Plaintiff argues these allegations directly address the deficiencies identified in prior rulings and that his prior references to driving to Safeway were not an admission that he could have left on foot on March 3, 2024.

Second, plaintiff argues the SAC sufficiently connects J&A to the process servers' conduct through allegations that J&A directly hired the Clausens, authorized a stakeout, deployed two process servers instead of one, imposed deadline pressure, declined to rehire process servers who had previously failed, and instructed that plaintiff be photographed at the time of service, etc. Plaintiff asserts these are ultimate facts rather than speculation regarding J&A's involvement in the service operation, and that the communications underlying them are within defendants' exclusive knowledge, making evidentiary-level pleading inappropriate before discovery has taken place.

In the alternative, plaintiff requests leave to amend the SAC to add the basis for his information and belief allegations.

Legal Standard

A demurrer challenges the legal sufficiency of the complaint on the ground it fails to state facts sufficient to constitute a cause of action. (Code Civ. Proc. § 430.10(e); *Rakestraw v. California Physicians' Service* (2000) 81 Cal.App.4th 39, 42-43.) The challenge is limited to the "four corners" of the pleading or matters outside the pleading which are judicially noticeable under Evidence Code §§ 451 or 452.

On demurrer, a complaint must be liberally construed. (Code Civ. Proc, § 452; *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 601.) All material facts properly pleaded, and reasonable inferences, must be accepted as true. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-67.) Although California courts take a liberal view of inartfully drawn complaints, it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194

Cal.App.4th 399, 413.)

Analysis

(1) The Sufficiency of the False Imprisonment Claim

False imprisonment has three elements: (1) the nonconsensual, intentional confinement of a person, (2) without lawful privilege, and (3) for an appreciable period of time, however brief. (*Fermino v. Fedco, Inc.* (1994) 7 Cal.4th 701, 715-16; *Easton v. Sutter Coast Hosp.* (2000) 80 Cal.App.4th 485, 496; *Lyons v. Fire Ins. Exch.* (2008) 161 Cal.App.4th 880, 888; *Shoyoye v. County of Los Angeles* (2012) 203 Cal.App.4th 947, 962; *Bocanegra v. Jakubowski* (2015) 241 Cal.App.4th 848, 855; CACI No. 1400 [restraint may be accomplished by physical barriers, force, threats of force, menace, fraud, deceit, or unreasonable duress, italics added].)

Before addressing the sufficiency of the confinement allegations, the court addresses J&A's argument that the SAC is a sham pleading and should be disregarded.

Under the sham pleading doctrine, a plaintiff may not avoid demurrer by pleading facts in an amended complaint that contradict facts pleaded in a prior complaint, or by suppressing facts which prove the pleaded facts false. (*Cantu v. Resolution Trust Corp.* (1992) 4 Cal.App.4th 857, 877.) The sham pleading doctrine is an exception to the general rule that the court must assume the truth of the factual allegations of the complaint. (*Owens v. Kings Supermarket* (1988) 198 Cal.App.3d 379, 383; *Foster v. Sexton* (2021) 61 Cal.App.5th 998, 1019.) Under this exception, if a party amends a pleading to omit or alter facts that rendered the pleading vulnerable to attack, the policy against sham pleading requires the plaintiff to explain the inconsistency. (*Owens, id.* at 384.) If the plaintiff fails to provide a satisfactory explanation, the court may disregard the inconsistent allegations and read into the amended complaint the allegations of the superseded complaint. (*Ibid.*)

J&A argues that the SAC's allegations that the Clausens physically blocked both car doors with their bodies and that one of them verbally instructed plaintiff to stay in the car are fabricated additions that would have appeared in the FAC from the outset if they were true. The sham pleading doctrine targets contradictions, not additions. The FAC alleged that the process server's vehicle blocked plaintiff's car and that plaintiff was trying to leave by car. It did not allege that the Clausens positioned themselves on both sides of plaintiff's car or that either of them verbally directed him to stay. The SAC adds those allegations; it does not contradict the FAC's account of events. Plaintiff reasonably explains that the new allegations are a direct response to the deficiency the prior tentative ruling identified, namely that the FAC alleged only a blocked car and did not allege physical restraint or words or conduct showing plaintiff would not be allowed to leave.

J&A also argues that the SAC's new allegation that plaintiff could not open his car door to exit on foot without striking the Clausens is irreconcilably inconsistent with the FAC's Safeway allegations. The court disagrees. The FAC explained why plaintiff was taking a car that day. It did not affirmatively allege that exiting on foot was physically available to him given that Clausens alleged conduct.

The SAC alleges sufficient facts to support the elements of false imprisonment. As to element one, the SAC alleges that on March 3, 2024, defendants Ernest and Vicki Clausen intentionally blocked

plaintiff's driver and passenger side car doors with their bodies while their SUV obstructed the driveway exit, and one of them instructed plaintiff to stay where he was. (SAC ¶¶ 53, 56, 57, 63, 66, 67, 73.) Plaintiff did not consent to being restrained. (SAC ¶ 71.) As to element two, plaintiff alleges the Clausens had no lawful privilege to restrain him or block his car doors. (SAC ¶ 74.) As to element three, plaintiff was compelled to remain in his car until the Clausens departed. (SAC ¶¶ 59, 72.)

Based on the foregoing, J&A's demurrer on the ground that the SAC fails to state facts sufficient to constitute a cause of action for false imprisonment is overruled as to the conduct of the process servers.

(2) Whether the SAC Adequately Pleads J&A's Liability for the Conduct of the Process Servers

Civil Code section 2338 codifies the respondeat superior doctrine as follows: "Unless required by or under the authority of law to employ that particular agent, a principal is responsible to third persons for the negligence of his agent in the transaction of the business of the agency, including wrongful acts committed by such agent in and as a part of the transaction of such business, and for his willful omission to fulfill the obligations of the principal." Section 2338 "is not limited to employer and employee but speaks more broadly of agent and principal; it makes the principal liable for negligent and 'wrongful' acts committed by the agent 'in and as part of the transaction of such [agency] business.'" (*Lisa M. v. Henry Mayo Newhall Memorial Hospital* (1995) 12 Cal.4th 291, 296, fn. 2.)

"An allegation of agency is an allegation of ultimate fact that must be accepted as true for purposes of ruling on a demurrer." (*Dones v. Life Insurance Company of North America* (2020) 55 Cal.App.5th 665, 685.) A plaintiff is not required to allege facts demonstrating the principal's control over its agent. (*Ibid.*) "The general allegation of agency is one of ultimate fact, sufficient against a demurrer." (*Kiseskey v. Carpenters' Trust for So. Cal.* (1983) 144 Cal.App.3d 222, 230; accord, *Skopp v. Weaver* (1976) 16 Cal.3d 432, 437; *Barsegian v. Kessler & Kessler* (2013) 215 Cal.App.4th 446, 451; *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 886; *Lujan v. Gordon* (1977) 70 Cal.App.3d 260, 262.)

Plaintiff alleges that J&A hired the Clausens to serve him. (SAC ¶ 83.) J&A concedes as much in its own brief, stating that "this case is nothing more than a law firm hiring a process server to serve a party." (MPA,13:19-22.) Thus, the agency relationship created by that hire is not disputed. The SAC further alleges that the defendants were acting as agents, employees, and representatives of one another in the course and scope of that relationship with the knowledge and consent of their principals. (SAC ¶ 11.)

J&A argues the SAC is defective because plaintiff has not alleged facts demonstrating that J&A controlled the manner and means by which the Clausens carried out service. The cases J&A relies on as holding that a plaintiff must allege facts demonstrating the principal's control over its agent (*Patterson v. Domino's Pizza, LLC* (2014) 60 Cal.4th 474 and *Stevens v. Roman Catholic Bishop of Fresno* (1975) 49 Cal.App.3d 877) do not support that proposition. Both cases discuss requirements for proof of an agency relationship. Neither says anything about pleading requirements to withstand demurrer.

J&A also argues that plaintiff's allegations are pleaded on information and belief without the factual

foundation required by the cases. The court need not reach that argument. An agency relationship between J&A and the Clausens is sufficiently alleged and confirmed by J&A's own concession that it hired the Clausens to effect service, and a plaintiff is not required to allege facts demonstrating the principal's control over its agent. (See, e.g., *Dones*, p. 685.)

Because the agency relationship is pleaded, the court need not reach the sufficiency of plaintiff's aiding and abetting allegations.

Disposition

Based on the foregoing, the demurrer is **overruled**. J&A shall have 30 days to answer the SAC.

9. 9:00 AM CASE NUMBER: C24-01973
CASE NAME: DAVID WONG VS. JAFFE AND ASHER LLP
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT
FILED BY: CHARLES SCHWAB & CO. INC.
TENTATIVE RULING:

Defendant Charles Schwab & Company, Inc.'s Demurrer to Plaintiff David Wong's Second Amended Complaint is **sustained with leave to amend**. As explained in Line 8 above, the Court concludes that Wong's SAC allegations are sufficient to allege that the Clausens committed false imprisonment. However, the Court concludes that the allegations are insufficient to state a claim that Schwab (unlike J&A) can be held responsible for any torts of the process servers.

Background

Plaintiff David Wong filed this action in July 2024. The operative pleading is the Second Amended Complaint (SAC), filed October 15, 2025. The SAC asserts a single remaining cause of action against Charles Schwab & Company, Inc. for false imprisonment arising out of a service-of-process incident on March 3, 2024.

The court has previously sustained demurrers to earlier iterations of the false imprisonment claim. J&A demurred to the original complaint, and the court sustained that demurrer on February 10, 2025, finding that plaintiff had alleged only that his car was blocked by the process server's vehicle and had not alleged facts sufficient to show he was physically restrained or that he believed, based on words or conduct, that he would not be allowed to leave. Plaintiff filed the First Amended Complaint on February 24, 2025. J&A demurred to the FAC and the court sustained the demurrer with leave to amend.

Plaintiff filed the SAC on October 15, 2025. Schwab now demurs to the false imprisonment cause of action on the ground that the SAC fails to state facts sufficient to constitute a cause of action against it. Schwab advances two principal arguments.

First, Schwab contends the SAC does not allege a false imprisonment. Schwab argues that new allegations in the SAC regarding physical blocking of the car doors and a verbal instruction to stay

contradict prior pleadings and should be disregarded as sham. Schwab further argues that the SAC's omission of the ex-military and vexatious litigant allegations from the FAC is also sham and that the court should read those allegations back in. Schwab also argues that even accepting the new allegations, the process servers' conduct would not cause a reasonable person to believe they were confined.

Second, Schwab contends that even if a false imprisonment occurred, it cannot be held liable for the Clausens' conduct. Schwab argues that plaintiff's allegations connecting it to the process servers sound in either agency or aiding and abetting, and that under either theory they fail. As to agency, Schwab argues that plaintiff does not allege that Schwab controlled the manner and means by which the Clausens carried out service. As to aiding and abetting, Schwab argues that plaintiff does not allege facts showing Schwab knew a tort was being or would be committed and acted with intent to facilitate it. Schwab also argues that all agency and intent allegations must be disregarded because they are pleaded on information and belief without the factual foundation required under *Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149.

Schwab requests that the demurrer be sustained without leave to amend since plaintiff has had three opportunities to plead and remains unable to state a viable claim.

In opposition, plaintiff argues the SAC states a claim for false imprisonment against the process servers by alleging facts beyond a blocked driveway; specifically that both car doors were physically blocked by the Clausens' bodies, that one of the Clausens told plaintiff to stay in the car, and that plaintiff was not free to leave until they departed. Plaintiff argues these allegations were intended to address deficiencies identified in prior rulings and that prior references to driving to Safeway were not an admission that he could have left on foot on March 3, 2024.

Plaintiff also argues the SAC sufficiently connects Schwab to the process servers' conduct through allegations that Schwab and its law firm authorized a stakeout, deployed two process servers instead of one, imposed deadline pressure, declined to rehire process servers who had previously failed, and instructed that plaintiff be photographed at the time of service, etc. Plaintiff claims these are ultimate facts rather than mere speculation, and that the communications underlying them are within defendants' exclusive knowledge, making evidentiary-level pleading inappropriate before discovery can be had.

In the alternative, plaintiff requests leave to amend to add the basis for his information and belief allegations, including a phone call with Ernest Clausen in which Mr. Clausen did not absolve Schwab of responsibility for the manner in which service was carried out.

Legal Standard

A demurrer challenges the legal sufficiency of the complaint on the ground it fails to state facts sufficient to constitute a cause of action. (Code Civ. Proc. § 430.10(e); *Rakestraw v. California Physicians' Service* (2000) 81 Cal.App.4th 39, 42-43.) The challenge is limited to the "four corners" of the pleading or from matters outside the pleading which are judicially noticeable under Evidence

Code §§ 451 or 452.

On demurrer, a complaint must be liberally construed. (Code Civ. Proc, § 452; *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 601.) All material facts properly pleaded, and reasonable inferences, must be accepted as true. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-67.) Although California courts take a liberal view of inartfully drawn complaints, it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.)

Analysis

(1) Sufficiency of the False Imprisonment Claim

In ruling on J&A's demurrer (Line 8 above), the Court analyzed whether Wong has adequately alleged that the Clausens committed false imprisonment, and concluded that he has. That analysis and conclusion are identically presented on Schwab's demurrer, and they are incorporated by reference here.

(2) Whether the SAC Adequately Pleads Schwab's Liability for the Conduct of the Process Servers

Civil Code section 2338 codifies the respondeat superior doctrine as follows: "Unless required by or under the authority of law to employ that particular agent, a principal is responsible to third persons for the negligence of his agent in the transaction of the business of the agency, including wrongful acts committed by such agent in and as a part of the transaction of such business, and for his willful omission to fulfill the obligations of the principal." Civil Code section 2338 "is not limited to employer and employee but speaks more broadly of agent and principal; it makes the principal liable for negligent and 'wrongful' acts committed by the agent 'in and as part of the transaction of such [agency] business.'" (*Lisa M. v. Henry Mayo Newhall Memorial Hospital* (1995) 12 Cal.4th 291, 296, fn. 2.)

An allegation of agency is an allegation of ultimate fact that must be accepted as true for purposes of ruling on a demurrer. (*Dones v. Life Insurance Company of North America* (2020) 55 Cal.App.5th 665, 685; *Kiseskey v. Carpenters' Trust for So. Cal.* (1983) 144 Cal.App.3d 222, 230; *Skopp v. Weaver* (1976) 16 Cal.3d 432, 437.) That rule does not apply where the agency allegation is made on information and belief, in which case the plaintiff must allege the information leading him to believe the allegations are true, and specific information and belief allegations control over any inconsistent general allegation. (*Brown v. USA Taekwondo* (2019) 40 Cal.App.5th 1077, 1106-1107; *Gomes*, at p. 1158; *Ferrick v. Santa Clara University* (2014) 231 Cal.App.4th 1337, 1352 [it is possible that specific allegations will render a complaint defective when the general allegations, standing alone, might have been sufficient].)

Unlike J&A, Schwab does not concede that it hired the Clausens. The SAC's general agency allegation appears in paragraph 11 and is made on information and belief. The specific allegations connecting

Schwab to the manner and means of service appear in paragraphs 78 through 94 and are also made on information and belief throughout. Specifically, the SAC alleges on information and belief that Schwab and/or J&A authorized multiple prior service attempts and became frustrated when they failed (SAC ¶ 81); declined to rehire process servers who did not succeed (SAC ¶ 82); communicated that frustration to the new process servers, authorized a stakeout, and wanted Wong served even if that meant temporarily restraining him (SAC ¶ 83); wanted Wong temporarily restrained and communicated this to the process servers, and wanted him photographed at the time of service (SAC ¶ 84); knew the process servers would temporarily restrain Wong (SAC ¶ 85); provided instructions the process servers reasonably believed authorized false imprisonment, along with Wong's vehicle description and a twenty-year address history (SAC ¶ 86); intended Wong to be temporarily restrained by imposing deadline pressure and communicating prior failures (SAC ¶ 87); instructed the process servers to follow Wong home and surprise him (SAC ¶ 89); and approved a plan to temporarily restrain Wong and provided his home address to facilitate it. (SAC ¶ 94.)

Here, the general agency allegation in paragraph 11 and the specific allegations connecting Schwab to the manner and means of service are alike made on information and belief. Neither identifies the factual basis for plaintiff's belief as required under the cases.

Plaintiff's aiding and abetting allegations present the same problem. Aiding and abetting requires that the aiding and abettor know the principal's conduct constitutes a breach of duty and give substantial assistance or encouragement to the other to so act. (*IIG Wireless, Inc. v. Yi* (2018) 22 Cal.App.5th 630, 653-54.) The SAC's aiding and abetting allegations in paragraphs 89-91 are made on information and belief without a sufficient factual basis.

Schwab argues that the SAC is further defective because plaintiff fails to allege facts showing that Schwab controlled the manner and means by which the Clausens carried out service. The cases Schwab cites, *Patterson v. Domino's Pizza, LLC* (2014) 60 Cal.4th 474, decided at summary judgment, and *Stevens v. Roman Catholic Bishop of Fresno* (1975) 49 Cal.App.3d 877, decided after a jury trial, concern requirements for proof of an agency relationship and do not state a pleading standard.

The court sustains the demurrer with leave to amend for plaintiff to specifically allege the legal theories on which he seeks to hold Schwab liable for the conduct of the process servers, and the facts supporting those theories. (*San Mateo Union High School District v. County of San Mateo* (2013) 213 Cal.App.4th 418, 441 [if there is a reasonable possibility the defect in the complaint could be cured by amendment, it is an abuse of discretion to sustain a demurrer without leave to amend].)

Disposition

Schwab's demurrer is sustained with leave to amend. Plaintiff may file and serve a third amended complaint within 21 days of the date of this order or within 21 days of service of Schwab's discovery responses (Line 10 below). If he does not do so, the case will be dismissed as against Schwab.

10. 9:00 AM CASE NUMBER: C24-01973
CASE NAME: DAVID WONG VS. JAFFE AND ASHER LLP
***HEARING ON MOTION FOR DISCOVERY TO COMPEL FURTHER RESPONSE TO DISCOVERY**

FILED BY: WONG, DAVID

TENTATIVE RULING:

Plaintiff Wong filed this motion to compel further discovery responses from defendant Schwab as to a set of form interrogatories, a set of requests for admission, and a set of requests for document production. That should properly have been three separate motions. Moreover, plaintiff's brief in support is cursory, conclusory, and uninformative. Although plaintiff is pro per in this lawsuit, he is an attorney and should know better than this. However, the issues are adequately laid out in the separate statements, and the technical flaws do not get in the way of full consideration.

Plaintiff's motion is **granted in part and denied in part**.

Formal responses aside, it is fair to observe that up to this point, Schwab's attitude toward discovery has been that it expects plaintiff's remaining false imprisonment claim to fail early as against Schwab, so that it will put off responding to discovery in hopes of winning the case outright on demurrer. Formally that is found in Schwab's blanket objection that the discovery is premature while Schwab's MJOP (really its demurrer) are pending. In the circumstances of the case, that is not quite as presumptuous and inappropriate as it might generally appear. Wong has been litigating this claim through several iterations and is still unable to state a valid claim against Schwab – and it is far from certain that he will be able to do so even after taking discovery.

However, Wong has at least half a point in tying the demurrer and the discovery motion together. The Court is sustaining the demurrer (Line 9) because, although Wong has alleged conclusions on information and belief, he has not provided the required factual basis for that information and belief. He argues that he cannot be expected to adduce that factual basis when he has been completely stonewalled on discovery from Schwab.

Accordingly, the Court will **grant** the present discovery motion, but only to the extent that Wong's discovery requests could fairly be said to bear on the issue of whether and to what extent Schwab did or didn't authorize or direct the conduct of the Clausens. That means all of Wong's second set of requests for production of documents; requests 1 through 6 of Wong's second set of requests for admissions; and interrogatories 1.1 and 17.1 of Wong's second set of form interrogatories.

Otherwise, discovery from Schwab is premature unless and until Wong is able to allege a legally survivable cause of action against it. The motion is therefore **denied** in all other respects, without prejudice to plaintiff re-propounding the same or other discovery when and if Wong has stated a viable complaint against Schwab. (The Court observes, however, that at least some of the requests appear to have been propounded in bad faith, such as those inquiring into the responding party's alleged damages. The responding party is a defendant, not a plaintiff.)

To the extent that the Court is granting this motion, Schwab is to serve amended verified responses by June 30, and to produce responsive documents by July 14. As a timing exception, discovery requests relating to Schwab's allegations or denials in its responsive pleading (e.g., form interrogatory 15.1) are to be answered 30 days after service and filing of Schwab's answer.

11. 9:00 AM CASE NUMBER: C25-00570
CASE NAME: CYNTHIA DUNHAM VS. AUSTREBERTO PINEDA GOMEZ
HEARING IN RE: FOR PRELIMINARY INJUNCTION
FILED BY:

TENTATIVE RULING:

Parties and counsel to appear, in person, for discussion as to the present situation and what accommodations can be made by agreement or Court order.

12. 9:00 AM CASE NUMBER: C25-00957
CASE NAME: EAST BAY MUNICIPAL UTILITY DISTRICT VS. MATT KAUFFMAN
*HEARING ON MOTION IN RE: DISMISS CCP 430.10 AND HOLD PLAINTIFF IN CIVIL CONTEMPT
FILED BY:

TENTATIVE RULING:

The Court **continues** this motion a week, to June 18, 2026 at 9:00 a.m. The Court has not completed its analysis.

13. 9:00 AM CASE NUMBER: C25-01274
CASE NAME: MARK ZUCCA VS. NELLY PICKERT
*HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL RE: PAULA S. GROHS
FILED BY: ZUCCA, MARK

TENTATIVE RULING:

Moving counsel to appear in person for an in camera hearing as to grounds for withdrawal. The client may also appear if desired.

14. 9:00 AM CASE NUMBER: C25-02753
CASE NAME: LOYED COBB VS. LUCKY STORES (SAVE MART) LLC
*HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL
FILED BY:

TENTATIVE RULING:

Moving counsel to appear in person for an in camera hearing as to grounds for withdrawal. The client may also appear if desired.

15. 9:00 AM CASE NUMBER: C25-03224
CASE NAME: SHOPS AT TODOS SANTOS, LLC VS. EDWIN TIU
HEARING IN RE: MOTION TO SET ASIDE DEFAULT
FILED BY:

TENTATIVE RULING:

This is a rent collection action for restaurant premises. Defendant Trang Tran is in default but moves pro per to vacate the default. The motion is unopposed, and it is **granted**. Tran may file and serve his

answer by June 29. The Court does not know if defendant tried to contact plaintiff's counsel to ask for a stipulation, but this should have been handled by stipulation.

16. 9:00 AM CASE NUMBER: C25-03224
CASE NAME: SHOPS AT TODOS SANTOS, LLC VS. EDWIN TIU
HEARING IN RE: MOTION TO SET ASIDE DEFAULT
FILED BY:

TENTATIVE RULING:

This is a rent collection action for restaurant premises. Defendant Thomas Phu is in default, but moves pro per to vacate the default. The motion is unopposed, and it is **granted**. Tran may file and serve his answer by June 29. The Court does not know if defendant tried to contact plaintiff's counsel to ask for a stipulation, but this should have been handled by stipulation.

17. 9:00 AM CASE NUMBER: C26-00382
CASE NAME: GIOVANNI BIASIN VS. NISSAN NORTH AMERICA INC., A CORPORATION
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: NISSAN NORTH AMERICA INC., A CORPORATION

TENTATIVE RULING:

This demurrer was **withdrawn** in light of plaintiff's voluntary dismissal of the challenged cause of action.

18. 9:00 AM CASE NUMBER: MSC19-01228
CASE NAME: KENZIE CONSULTING VS CUNNINGHAM
***HEARING ON MOTION IN RE: SET ASIDE JUDGMENT ENTERED AGAINST DEFENDANTS**

FILED BY: CUNNINGHAM, HART PEARSON

TENTATIVE RULING:

Judgment for plaintiffs was entered in 2023 after defendants' answers and cross-complaint were stricken for repeated failures to appear and disobedience of an order to mediate. Defendants now move to vacate the dismissal and judgment. The motion is **denied**.

Background and Course of Litigation

Plaintiff Tierney and his related consulting business filed this suit in June 2019, to collect amounts due for various professional and business services provided to Cunningham and his affiliated businesses. All defendants were served in July 2019, through personal service on Cunningham at his residence in Haiku, Hawaii.

In November 2019, the Court denied defendants' motion to dismiss for lack of personal jurisdiction and forum non conveniens. Thereafter defendants answered the complaint, and Cunningham personally cross-complained against plaintiffs for breach of a confidentiality agreement and conversion of business opportunities. He amended his cross-complaint further in November 2020,

including his affiliated corporations as co-cross-complainants.

Cunningham and his corporations were represented by an attorney, Stephen Moses. Cunningham participated actively in the litigation for several years, including signing multiple declarations. The defense effort included challenges to plaintiffs' pleadings, and taking and responding to extensive discovery.

In October 2021, the Court directed that the parties must engage in mediation. Nearly a year later, in September 2022, plaintiffs' attorney (specially appearing also for Moses) informed the Court that the attorneys had agreed on Gary Sanders as a mediator and were selecting dates. However, he said that Moses would be filing a motion to withdraw as counsel. Apparently counsel also stated that defendants were refusing to proceed to mediation, as the Court issued an OSC to them for failure to mediate.

In October 2022 Moses filed his withdrawal motion. The following day Moses informed the Court that he had been actively trying to get his clients to mediate. His motion to withdraw was granted in January 2023. In April 2023, plaintiffs' counsel likewise confirmed that Cunningham had not responded to any attempts to communicate with him about mediation.

As a result, in April 2023 the Court acted on the OSC by striking the defendants' answers and cross-complaint. The following October the Court entered judgment in favor of plaintiffs and against defendants. That judgment remains in place.

Since then, there have been proceedings in Hawaii and Arizona to enforce and collect the judgment. Otherwise, however, there was no activity in this Court's file until the present motion was filed in August 2025.

Representation of Defendants on This Motion

All defendants filed this motion last August through attorney Reshma Kamath. Kamath, however, was subsequently disbarred. For this reason (and particularly because the corporate movants cannot appear without counsel), hearing of this motion was postponed at plaintiffs' suggestion (and over Cunningham's objection) to give defendants time to hire substitute counsel. Cunningham initially substituted in in pro per for himself. In April 2026 he substituted in a new attorney for himself, David Smart. Not until last Thursday, June 4, however, did Smart also substitute in on behalf of the corporate defendants.

The Governing Law

Cunningham bases his motion on CCP section 473. "A party seeking relief under section 473 bears the burden of proof." *Hearn v. Howard* (2009) 177 Cal.App.4th 1193, 1205, citing *In re Marriage of Kieturakis* (2006) 138 Cal.App.4th 56. "Absent [the filing of an attorney affidavit of fault], the moving party's evidence must preponderate as to the claimed 'mistake, surprise, inadvertence or excusable neglect.'" *Weil & Brown, Civ. Proc. Before Trial*, ¶ 5:394 (2015), citing *Luz v. Lopes* (1960) 55 Cal.2d 54, 62. "Also, the moving party must show due diligence in seeking discretionary relief

after discovery the default.” Id.

As summarized by the commentators in The Rutter Group’s California Practice Guide: Civil Procedure Before Trial (2024 Update) (“Rutter California Practice Guide”) ¶ 5:327: “The issue boils down to whether the moving party has shown a reasonable excuse for the default. [See *Shapiro v. Clark* (2008) 164 CA4th 1128, 1141-42, rejecting “categorical statements about what can be found to constitute excusable neglect”]. ¶5:329: “Reasonable diligence as test. In the absence of an ‘attorney affidavit of fault,’ the burden is on the moving party to show that the neglect was excusable: i.e., that the default could not have been avoided through the exercise of ordinary care. [*Jackson v. Bank of America* (1983) 141 CA3d 55, 58 -- “the acts which brought about the default must have been the acts of a reasonably prudent person under the same circumstances”].”

As summarized in the Cal. Judges Benchbook: Civ. Proc. After Trial (2024) §1.22 “Excusable Neglect:”

Prudent Person Standard: A judge may grant relief from default or a default judgment on the ground of the defendant's excusable neglect (CCP § 473(b)) if the defendant shows a reasonable excuse for the default. *Jackson v Bank of America* (1983) 141 CA3d 55, 58. Excusable neglect is an act or omission that might be expected of a reasonably prudent person under similar circumstances. *Zamora v Clayborn Contracting Group, Inc.* (2002) 28 C4th 249, 257.”

No relief for inexcusable neglect. The defendant's inexcusable neglect prevents relief. *Carroll v Abbott Labs., Inc.* (1982) 32 C3d 892, 895. A judge may not set aside a default judgment under CCP § 473(b) for inexcusable neglect simply because the plaintiff will not be prejudiced if the judgment is set aside. 32 C3d at 900; *Stafford v Mach* (1998) 64 CA4th 1174, 1187. In *Stafford*, the appellate court rejected the defendant's contention that because the plaintiff did not file a counter-declaration alleging prejudice or injustice from a trial of the case on the merits, the defendant was only required to provide very slight evidence in order to justify setting aside the default. 64 CA4th at 1187.

Significantly, “a stronger showing of the excusable nature of neglect is required to obtain relief under a court's equity power, than would be necessary for relief under section 473. *Carroll*, 32 Cal.3d at 901, fn. 8.

As further summarized in Cal. Judges Benchbook: Civ. Proc. After Trial (2024 Update) § 1.23 “Consideration of Evidence:”

Evidence must be competent. The evidence in support of the motion for relief (e.g., the defendant's declaration in support of discretionary relief or the attorney's sworn affidavit in support of mandatory relief) must be competent. The declaration or affidavit must contain facts within the witness's personal knowledge, not hearsay, opinions, or conclusions. See *Roman v Usary Tire & Serv. Ctr.* (1994) 29

CA4th 1422, 1427 n2, 35 CR2d 329.

Assessment of credibility. The judge must assess the credibility of the declarations and affidavits, determine the weight to be given to their contents, and resolve any conflicts in the evidence. *Shamblin v Brattain* (1988) 44 C3d 474, 479; *Cowan v Krayzman* (2011) 196 CA4th 907, 915 (judge determined attorney's declaration of fault was not credible); *Lorenz v Commercial Acceptance Ins. Co.* (1995) 40 CA4th 981, 998, 47 CR2d 362 (judge determined attorney's declaration of fault was credible).

As further summarized in Cal. Judges Benchbook: Civ. Proc. After Trial (2024 Update) § .15

“Overview; Judge's Guidelines:”

To be entitled to relief, the defendant has the burden of showing that the default was in fact entered by reason of mistake, inadvertence, surprise, or excusable neglect. [] If the defendant fails to make this showing, a judge has no discretion to grant relief. *Hopkins & Carley v Gens* (2011) 200 CA4th 1401, 1410; *Fasuyi v Permatex, Inc.* (2008) 167 CA4th 681, 694.”

“Evidence submitted to carry the movant’s burden should be in the form of declarations presenting competent and admissible evidence sufficient to establish “mistake” or “excusable neglect.” Such declaration should include ‘detailed factual explanations as to how the claimed ‘mistake’ or ‘neglect’ occurred.’” Weil & Brown, Civ. Proc. Before Trial (2015 ed.), ¶ 5:395. The moving party “must avoid declarations or conclusions” and “be very specific about what happened.” Id., at ¶ 5:390.1. See, e.g., *Rambush v. Rambush* (1968) 267 Cal.App.2d 734, 746 (finding that declarations in support of motion of to set aside default judgment failed to make sufficient showing of inadvertence, mistake, surprise or excusable neglect.).

A moving party has a dual burden. Besides showing that the error resulted in the default/judgment was excusable, a moving party must comply with certain procedural requirements to qualify for relief under section 473(b). Specifically, the moving party's application for relief “shall be made within a reasonable time, in no case exceeding six months, after the judgment ... was taken.” This reasonable time requirement means a moving party must show that he or she acted diligently once learning of the judgment. (*Huh v. Wang* (2007) 158 Cal.App.4th 1406, 1420.)

Under section 473(b), “[t]he word ‘excusable’ means just that: inexcusable neglect prevents relief.” *Iott v. Franklin* (1988) 206 Cal.App.3d 521, 528.

Section 473(b) is designed to protect against default when there is “some condition or situation in which a party ... is unexpectedly placed to his injury, without any default or negligence of his own, which ordinary prudence could not have guarded against.” *State Farm Fire & Casualty Co. v. Pietak* (2001) 90 Cal.App.4th 600, 611.

“The court's ability to grant relief under its inherent power is narrower than its ability to grant relief under section 473, subdivision (b).” (*Carroll v. Abbott Laboratories, Inc.* (1982) 32 Cal.3d 892, 901,

fn. 8.) This is especially true after a default judgment has been entered. “A party who seeks to set aside a default judgment pursuant to the court’s equity power must make a substantially stronger showing of the excusable nature of his or her neglect than is necessary to obtain relief under ... section 473.” (*In re Marriage of Stevenot* (1984) 154 Cal.App.3d 1051, 1074.) As our Supreme Court has explained, “[w]hen a default *judgment* has been obtained, equitable relief may be given only in exceptional circumstances. ‘[W]hen relief under section 473 is available, there is a strong public policy in favor of granting relief and allowing the requesting party his or her day in court. Beyond this period there is a strong public policy in favor of the finality of judgments and only in exceptional circumstances should relief be granted.’” (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, at 981-82.); accord, *Kramer v. Traditional Escrow, Inc.* (2020) 56 Cal.App.5th 13, 29.

The Circumstances Leading to the Dismissal

Cunningham seeks to depict a scenario in which he was wholly and innocently unaware of Judge Maier’s order to mediate, of her order to show cause why the parties had not mediated, and of her subsequent dismissal of the case. He wants the Court to believe that he knew nothing about what was going on in the case after sometime in 2021, and that he was wholly unaware of the entry of terminating sanctions and judgment in 2023. He further suggests that none of this was his fault, and that attorney Moses must somehow be to blame – or perhaps it was the Court or the other side.

The evidence does not credibly support his depiction. His rather cursory declaration in support of this motion elliptically states only that he was “not *meaningfully* aware of status of this case as it progressed, and *I believe* the judgment was entered without actual notice or an opportunity to respond” (emphasis added by the Court). No elaboration is offered on what these obvious weasel words are supposed to mean.

Further, no explanation at all is offered for how Cunningham transitioned from full, active participation in the case in 2019-20, to complete incommunicado ignorance in 2021 or 2022. He does not claim his attorney stopped attempting to communicate with him; he does not claim that he relocated or left the country; he does not say his telephone, e-mail, and internet service were somehow cut off. Nor, if any of those events had occurred, does he assert that he ever updated or corrected the contact information available to his attorney.

Also not credible or satisfactory are his sketchy and incomplete assertions about why he received no notice. He says that at the time he was residing at 180 Door of Faith Road in Haika, Hawaii – the address where he was first served in 2019, and (because it was the last known address) the address to which notices were sent to him. But, he says, that location “does not receive U.S. mail, as it lacks a mailbox and postal delivery service.” The Court is by no means sure it believes that is factually true. But if it is, that appears likely to be so by Cunningham’s own deliberate choice. A quick Google Maps search (of which the Court can take judicial notice sua sponte) shows that the address is not in some remote wilderness, but in a fairly densely populated residential neighborhood, near a substantial town, on the north shore of Maui. Thus, the most likely inference is that the address lacked postal service only because it lacked a mailbox – presumably no one’s choice other than Cunningham’s. Cunningham offers no contrary explanation, such as that the USPS refuses to serve the neighborhood. Nor does he claim that he ever provided any different or changed mailing address to Moses or the

Court.

Similarly, Cunningham says the e-mail address used by Moses was “outdated”. He doesn’t say when he stopped using or checking it, or why it was outdated. And more importantly, he doesn’t suggest that there was some other e-mail (or mailing) address that he had notified Moses of, and that Moses should have used instead.

Cunningham is likewise completely silent on what efforts or communications he made to try to remain in communications or find out what was going on with the case. Suppose it was true, as he claims, that sometime in 2021 or so he stopped hearing from his lawyer about progress or developments in the lawsuit – whether because his lawyer was falling down on the job, or because Moses no longer had any workable contact information. But surely *Cunningham* had *Moses’s* phone number, e-mail, and address. Why, if he knew there was a lawsuit going on but he was being left in the dark about it, didn’t he pick up the phone and re-establish contact with his own attorney to ask what was going on?

Moses’s own description of what was going on, in his declaration supporting withdrawal, is clearer, less equivocal, and more credible:

My client, defendant Hart Cunningham, is the founder, director and officer of the remaining defendants, Alansis.com, Lender Scout Corp. and Speak With a Geek, Inc. Mr. Cunningham lives out of state in Hawaii. He has not responded to my attempts to communicate with him in almost over a year. He has not paid any recent invoices and he did not respond to my requests for authority to hire a mediator and schedule a mediation date. He did not respond to my notices requesting that he sign a Substitution of Counsel or notice of this Motion to be Relieved as Counsel. I cannot represent Mr. Cunningham and he corporate entities without any client communication and cooperation. Therefore, I respectfully request the court to relieve me as counsel for the defendants (including on the Cross-Complaint).

And therein lies one of the two gaping holes in defendants’ motion. It is only dubiously true, as Cunningham claims, that he was totally uninformed about developments in the case. But assuming that that was actually true at the time – whose doing was that? It was Cunningham who had given Moses only an address to which mail couldn’t be sent, and only an e-mail that Cunningham was no longer checking. Defendants make no claim that there was any other mailing address, e-mail, or other means of contact that they had provided to either Moses, or to the Court, or to the opposing counsel, that they should have been using instead of the now-ineffective contact information that defendants themselves had previously provided and never updated. And it was Cunningham who went years without bothering to check in with his own lawyer (or the Court) to find out what was going on. The clear picture that emerges, then, is that at some point in 2021 or so, Cunningham tired of the litigation, and decided that if he just ignored the lawsuit it would go away – along with his lawyer’s bills.

The case law is well-settled that defendants cannot place themselves beyond any method of contact -- and then when they lose the case, complain that the defeat doesn’t count because they were not

notified. E.g., *Kramer v. Traditional Escrow, Inc.* (2020) 56 Cal.App.5th 13, 31-34; *McClain v. Kissler* (2019) 39 Cal.App.5th 399; *Lint v. Chisholm* (1981) 121 Cal.App.3d 615.

In *Kramer*, the Court of Appeal reversed the order of the trial court which had granted relief from a default judgment, the Court of Appeal holding that the trial court's setting aside of the judgment was an abuse of discretion because the default had resulted from the failure of the moving parties to have provided notice of the current address where the moving parties could have been served by mail. The Court of Appeal held that the defendants representing themselves were not entitled to relief due to their failure to provide notice of their addresses and their failure to check their mail, which failures caused documents served by the plaintiff to not be received by the defendants. 56 Cal. App. 5th at 35. "[D]efendants made themselves unreachable by any means. They could not be reached by phone or e-mail, missing multiple phone calls from plaintiff and an e-mail from the trial court. Defendants cannot deliberately neglect this lawsuit and go off-grid, so to speak, and then complain that they lacked notice of the proceedings." *Id.* at 20.

In *McClain*, the Court of Appeal, in affirming the trial court's denial of relief from a judgment on the grounds that excusable neglect was not shown, stated:

The concept of "excusable," furthermore, is not synonymous with a get-out-of-jail-free card for parties who later come to regret past inaction or sitting on their rights. "The inadvertence contemplated by the statute does not mean mere inadvertence in the abstract. If it is wholly inexcusable it does not justify relief. [Citations.] It is the duty of every party desiring to resist an action or to participate in a judicial proceeding to take timely and adequate steps to retain counsel or to act in his own person to avoid an undesirable judgment. Unless in arranging for his defense he shows that he has exercised such reasonable diligence as a man of ordinary prudence usually bestows upon important business his motion for relief under section 473 will be denied. [Citation.] Courts neither act as guardians for incompetent parties nor for those who are grossly careless of their own affairs. ... The only occasion for the application of section 473 is where a party is unexpectedly placed in a situation to his injury without fault or negligence of his own and against which ordinary prudence could not have guarded.'" (*Hearn v Howard* (2009) 177 Cal.App.4th 1193, at p. 1206.)

39 Cal. App. 5th at 414-15. As the *Kramer* court stated:

"[T]he 'person to be served' has the burden of notifying the court of any change of address, and failure so to do does not enable him to claim improper notice." (*Bethlahmy v. Customcraft Industries, Inc.* (1961) 192 Cal.App.2d 308, 310.) Even under the more lenient section 473, subdivision (b), "[w]hen a default is the result of one party flouting [the California Rules of 17 Court] or failing to exercise diligence to ascertain what the law requires of them, trial courts ... should not ... grant that party relief from default." (*McClain v. Kissler* (2019) 39 Cal.App.5th 399, 404-405, 424.)

56 Cal. App. 5th at 31.

In *Lint*, 121 Cal.App.3d 615, where the Court of Appeal affirmed the trial court's denial of a motion to vacate a default judgment, Chisholm was a self-represented attorney who claimed that he had never received the notice of trial and therefore failed to appear at trial. (Id. at p. 619.) The trial court denied his motion to vacate default judgment under section 473, finding that his failure to notify the court of a change of address was not excusable neglect. The Court of Appeal affirmed that denial, explaining: "Chisholm did not show (1) his failure to notify the court of his address change, or alternatively to otherwise adequately arrange for mail delivery, was the act of a reasonably prudent person under the same circumstances; or (2) the nonreceipt occurred without any fault of his own...."

These cases arise as to unrepresented parties, and some of them apply to situations where the defaulted defendant never appeared in the case to start with. But the principles stated in the cases apply even more strongly to parties (such as these defendants) that actually had an attorney, actually participated actively in the defense for some years, and then decided to put themselves out of any means of contact by their own attorney, the Court, or the opponent.

This also suffices to dispense with defendants' rather overblown rhetoric about how the judgment was "void" for lack of constitutionally sufficient notice or service. Again, this is not a case of defendants who never had any way of knowing they were being sued, until after a default judgment had been entered against them. Cunningham and his corporations not only knew about this litigation, but indeed actively participated in defending against it – until Cunningham apparently decided he didn't want to be bothered, and by action and inaction saw to it that no one (including his own attorney) could communicate with him to apprise him of developments and requirements in the case. Intentionally and knowingly dropping out of contact in a litigation, does not mean giving oneself a constitutional immunity from losing it for lack of communication.

Untimeliness and Lack of Diligence

A second ground for denial, factually overlapping but legally sufficient in itself, is that defendants have not come anywhere close to acting with the reasonable diligence required for a motion for relief on any of the bases they assert.

For starters, the above discussion shows how -- even assuming that defendants were actually unaware of the events of 2021-23 that led to the judgment in this case -- that ignorance was entirely and solely self-inflicted, due to their own failure to maintain usable contact information, and to communicate with their own lawyer as to the status of the case. That in itself is sufficient ground to doom this motion for lack of reasonable diligence.

And then moving to the time after the judgment was entered in October 2023, it can again be pointed out that if defendants did not become actually aware of the entry of this judgment between 2023 and 2025, it was only because they made sure that no one could make them so aware. Again, that is the antithesis of reasonable diligence.

And finally, turning to when defendants *did* actually receive notice of this judgment: As plaintiffs correctly point out, defendants' moving papers never identify a specific date on which, they claim, they actually first found out about this judgment.

Plaintiffs, however, do have actual proof of when defendants did receive such knowledge. They point out that the court proceedings in Hawaii and Arizona for enforcement of the judgment were *actually served* on defendants at the Haiku address in March 2024. Those papers included a copy of the California judgment.

And they also provide an e-mail from defendant Cunningham personally, dated April 2025, in which he assured potential lenders on a pending transaction that the liens from this judgment would be removed. That proves that Cunningham had actual, personal knowledge that the liens – and the judgment – existed.

So where were defendants in the meantime? Even indulging their implicit but unstated assertion of actual ignorance before 2024, it is proved by undisputed documents that they waited nearly a year and a half, after receiving copies of this judgment, before they filed this motion. And they likewise waited some four months after themselves acknowledging the judgment's existence in their own communications. Under no possible stretch could either of those delays be deemed reasonable diligence.

19. 9:00 AM CASE NUMBER: MSC21-01751
CASE NAME: JOSE BELTRAN VS. MONUMENT CONSTRUCTION INC
HEARING IN RE: COMPLIANCE HEARING SET BY THE COURTROOM CONTINUED FROM 11.19.2025
FILED BY:
TENTATIVE RULING:

The final report as to disbursements is **approved**. The administrator may transmit any remaining funds to the Unclaimed Property Fund at the appropriate time, estimated as May 2027. If any late-appearing claimants present themselves in the meantime, however, their proceeds may be disbursed to them. No further hearings are required, but a final report documenting the disposition of all funds should be filed with the Court in due course.